

MATURITY STRUCTURE

Bonds are issued by governments and corporations using a variety of different maturities.

[Figure 8-1](#) divides bond maturities into three ranges: short term, intermediate term, and long term. Short-term bonds have an average maturity of 3 years or less, intermediate-term bonds have an average maturity of 4 to 9 years, and long-term bonds have an average maturity of 10 years or more. Under normal economic conditions, you should expect to get a higher return from long-term bonds because that segment of the market has more interest-rate risk. If a bond loses value when interest rates move higher, it has interest-rate risk. Long-term bonds have more interest-rate risk than short-term bonds because they have a longer time before maturing. Since long-term bonds have more risk, investors should get paid a higher interest rate for bearing that risk.

Economic factors cause interest rates for different bond maturities to change at different times and by different amounts. Those interest-rate shifts create changes in the “spreads” between different maturities. On average, the spread between the 1-year and 10-year Treasuries is about 0.9 percent. The spread was more than 3.0 percent for much of 2009. [Figure 8-3](#) shows the changing interest-rate spread between 1-year Treasury bills and 10-year Treasury notes since the early 1950s.

Most of the time, a 10-year Treasury note has had a higher yield than the 1-year T-bill. These are periods with a “normal” yield curve, so called because under normal conditions short-term T-bills are expected to yield less than intermediate-term Treasury notes. A “flat” yield curve occurs when the yield on T-bills and T-notes is the same. If T-bills have a higher yield than Treasury notes, this is known as an “inverted” yield curve.

There is a school of thought that believes that when the curve is inverted, the economy is slowing and the stock market will likely go down. There appears to be some support for this theory, although the timing is sketchy at best. Sometimes the curve becomes inverted a couple of years before stocks correct during a recession, and sometimes it inverts after the market has already started to pull back.

FIGURE 8-3

Treasury Term Spread, 1-Year T-Bills, and 10-Year Treasury Notes